



BEFORE THE U.S. COPYRIGHT OFFICE

COMMENTS OF THE OWNERS' RIGHTS INITIATIVE ON SECTION 1201

The Owners' Rights Initiative (ORI) is an organization of over 20 companies and associations that have joined together to protect ownership rights in the United States. We believe in the fundamental premise that **if you bought it, you own it**, and should have the right to use, sell, lend, or give away your personal property. ORI formed when the *Kirtsaeng v. Wiley* case was pending before the Supreme Court. We now are dedicated to preserving that holding, and to making sure that the rights of intellectual property owners do not inappropriately interfere with the personal property rights of consumers, businesses, and non-profit institutions that own products incorporating intellectual property.

We appreciate this opportunity to comment on Section 1201 of the Digital Millennium Copyright (DMCA). As currently drafted, Section 1201 interferes with the rights of owners of products whose operation is enabled by software. This was clearly demonstrated in the last rulemaking cycle, where the majority of the 27 proposed exemptions addressed situations far from Congress's intended target of online infringement when it adopted the DMCA in 1998. This indicates that Congress drafted the DMCA far too broadly, and that the Copyright Office is implementing the exemption process far too narrowly.

I. Section 1201's Overbreadth

In an effort to protect the economic interests of copyright owners in the digital age, Congress prohibited the circumvention of technological protection measures (TPMs) in order to get unpaid access to copyrighted works. However, the DMCA is worded so broadly as to prohibit owners of copies of works from circumventing the TPMs limiting access to their own copies. Manufacturers of a wide range of devices have exploited this overbreadth to exercise after-market control over the devices in a manner that has nothing to do with copyright protection. Many devices include software essential to their operation. Manufacturers have placed TPMs on this software in an effort to tether the device to complementary networks or products. The DMCA makes unlawful the circumvention of these TPMs for the purpose of untethering the devices.

Congress recognized that there may be legitimate reason for circumventing TPMs, so it authorized the Librarian of Congress to conduct a rulemaking every three years to adopt appropriate exemptions to the DMCA's circumvention prohibition. In this last rulemaking cycle, 14 of the 27 proposed exemptions concerned situations where the work protected by the TPM is a software component of a hardware device owned by the user. In other words, the exemption would allow the owner of a hardware product to make a use of her personal property obstructed by the DMCA.

Five of the proposed exemptions involved the "unlocking" of different kinds of devices so as to connect them to an alternate wireless network. The devices included telephone handsets, tablet computers, wearable computing devices, mobile connectivity devices, and consumer machines such as smart meters.

Another five of the proposed exemptions involved the "jailbreaking" of devices so that they can access alternate lawful content. The devices included telephone handsets, all-purpose mobile computing devices, dedicated e-book readers, video game consoles, and smart televisions.

Two of the proposed exemptions involved vehicle software. One exemption would permit the circumvention of TPMs on software that controls the function of motorized land vehicles for the purpose of diagnosis and repair, or after-market personalization. A second exemption would allow the circumvention of the TPMs on such software for the purpose of researching the safety or security of the vehicles.

The final two proposed exemptions would enable the use of alternative feedstock for 3D printers and research into the safety, security, and effectiveness of medical devices.

Fortunately, the Librarian granted these all exemptions, at least in part, with the exception of the proposed exemption for the jailbreaking of dedicated e-book readers. Where the Librarian granted an exemption, he recognized that the enabled uses would be lawful, and that the granting of these exemptions would not facilitate widespread infringement.

However, as a policy matter, it makes no sense to force all those who desire to unlock devices with embedded software to apply for a device-specific exemption every three years. Congress did not enact the DMCA to prevent these sorts of uses; it did not intend to restrict owners of hardware products from making full use of their personal property. To be sure, in certain specific situations there may be a governmental interest in limiting access to the embedded software, *e.g.*, to prevent tampering with safety technologies. But in such situations, the government should adopt appropriate regulations, rather than rely on the sweeping effect of the DMCA.

The source of the problem is the wording of the prohibition on circumvention in Section 1201(a). The Federal Circuit interpreted Section 1201(a) as requiring a nexus between circumvention and infringement before circumvention liability could attach. In *Chamberlain v. Skylink*, 381 F.3d 1178 (Fed. Cir. 2004), the Federal Circuit found that

the circumvention of the TPM on the software in a garage door opener motor by the manufacturer of universal garage door opener remote controls did not violate the DMCA because there was no possibility of infringement. The Sixth Circuit concurred with this interpretation in *Lexmark v. Static Control Components*, 387 F.3d 522 (6th Cir. 2004). However, the Ninth Circuit rejected this approach in *MDY v. Blizzard*, 629 F.3d 928 (9th Cir. 2010). Judge Donald’s dissent in *U.S. v. Reichert*, 747 F.3d 445 (6th Cir. 2014), discussed these “competing interpretations” of Section 1201(a) at length.

Because the Supreme Court is unlikely to resolve this circuit split in the near future, it may be necessary for Congress to amend the DMCA to explicitly require a nexus between circumvention and infringement, as in *Chamberlain*. Alternatively, it could adopt a permanent exception for the circumvention of TPMs on software essential to the operation of hardware.

II. The 1201 Rulemaking

Until Congress or the Supreme Court addresses this issue, the Copyright Office should take a more pragmatic approach toward exemptions for software components of hardware products. For example, it could consider, and ultimately grant, a broad exemption for all software essential to the operation of hardware in the lawful possession of the user. Regrettably, in the past rulemaking cycle the Copyright Office went in the opposite direction, drawing up classes as narrowly as possible. For the unlocking of devices from wireless networks, the Copyright Office identified five separate classes for five different kinds of devices. It did the same for jailbreaking. For vehicle software, the Copyright Office considered only land vehicles, when the same issue obviously will apply to boats and aircraft.

By Balkanizing the essential software problem in this manner, the Copyright Office places a much greater burden on the applicants of each narrow class to meet the preponderance of the evidence standard the Office imposes. Section 1201(a)(1)(C) certainly does not require the identification of such narrow classes.

Another problem is that the Copyright Office requires anyone who wants to extend an exemption for an additional three-year period to prove her case all over again, or the exemption will lapse. Section 1201(a)(1)(C), however, does not expressly require such *de novo* evaluation. The statute is broad enough to allow a rebuttable presumption that an exemption should be renewed. A presumption in favor of renewal would certainly lessen the burden of the rulemaking process on resellers and end-users seeking an exemption related to software-enabled products. Several of the exemptions, including for jailbreaking and device unlocking, have been renewed multiple times, underscoring the inefficiency of the Copyright Office’s *de novo* rulemaking approach. Of course, copyright owners would have the opportunity to introduce new evidence arguing against renewal.

We look forward to working with the Copyright Office as it proceeds with this study.